

FEASIBILITY STUDY

Premium bakery-café and central kitchen in Medina

Market study, opportunities, real estate and four costed scenarios.

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CHAPTER 1

Market study

The study starts from the Kingdom, moves to the cities driving its growth, then zooms in on Medina: its size, its projects and the demand the Holy Land brings it.

1.1 Saudi Arabia: an economy in transformation

Since 2016 the Kingdom has been pursuing Vision 2030, a programme that shifts growth from oil to tourism, services, industry and the private sector. According to the 2025 annual report, 93% of tracked indicators reached their yearly target.

+4.5%
GDP growth in 2025, the strongest in three years

55%
of GDP is non-oil; the private sector accounts for 51% of GDP, against 44% at launch

122 M
visitors in 2025 for about SAR 300 bn of spending; target of 150 M in 2030

USD 35.5 bn
of foreign investment in 2025, against USD 7.5 bn in 2017

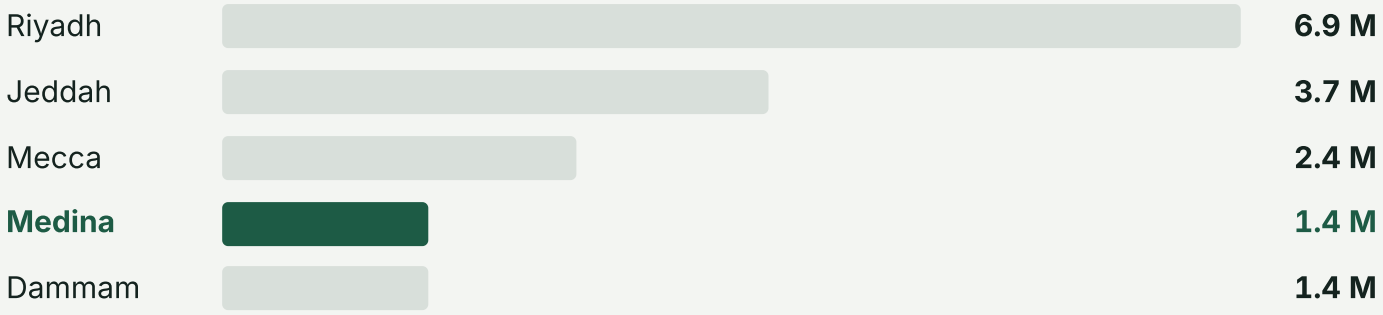
Indicator	Value	Source
GDP growth	+8.7% in 2022; +4.5% in 2025 (non-oil +4.9%, oil +5.7%); IMF forecast +4.5% in 2026	Asharq Al-Awsat, Arab News, Asharq Al-Awsat
Size of the economy	about USD 1,310 bn in 2025; PIF assets of USD 910 bn, against USD 192 bn at launch	Zawya
Vision 2030 progress	93% of indicators hit their 2025 target; more than 700 regional headquarters of international companies, against 44 in 2021	Zawya
Population	32.2 M at the 2022 census (18.8 M Saudis, 13.4 M non-Saudis); median age of 29; 63% of Saudis are under 30	AGBI
Employment	Saudi unemployment at 6.3% in Q1 2025, a record low; target of 5% in 2030; female participation at 35%, above the 30% target	Arab News
Tourism	122 M visitors in 2025 (+5%), about SAR 300 bn of spending (+6%); target of 150 M a year; travel and tourism contribution of USD 178 bn (+7.4%)	Gulf News, Arab News (WTTC)
Bakery and coffee consumption	bakery estimated at USD 5.1 bn in 2025 (about +3% a year); coffee about +8% a year according to market research publishers; indicative figures, not used in the calculations	IMARC, Ken Research

What this means for the project. A young population, purchasing power supported by non-oil growth and a target of 150 M visitors a year create lasting demand for

quality bakery and coffee. Religious tourism is its most stable component, and Medina is one of its two poles.

1.2 Several major cities drive growth, Medina among them

Development is not concentrated in Riyadh. Several cities are rising in parallel, each with its own engine. Medina is the fourth-largest city in the Kingdom by population.



Inhabitants, approximate values (Saudipedia). For Medina, the 2022 census gives 1,411,599 inhabitants in the city (City Population).

Rank	City	Growth engine
1	**Riyadh**	Economic and political capital; regional headquarters of international companies; Riyadh Season, more than 17 M visitors in 2025 (Zawya)
2	**Jeddah**	Large commercial city on the Red Sea coast, air and sea gateway to Mecca
3	**Mecca**	Hajj and Umrah: pilgrimage shapes the whole city economy
4	**Medina**	The Prophet's Mosque ﷺ (المسجد النبوي الشريف), Umrah, projects worth more than SAR 210 bn, rail and air relay for the pilgrimage
5	**Dammam**	Eastern Province, industry and energy hub

In parallel, the Vision 2030 destinations are being built on the Red Sea and in the north-west (more than 50,000 tourists in nine Red Sea resorts in 2025). These projects broaden the tourism offer, but none replaces the religious flow of the two holy cities.

1.3 Medina: the Holy Land and its potential

Medina is a city of 1.4 M inhabitants that welcomes more than 21 M visitors every year, about 15 times its population. This demand comes from the Prophet's Mosque 🕌 and does not depend on oil cycles.

1.41 M
inhabitants in the city (2022), +28% since 2010

2.39 M
inhabitants in the region (2022), +34% since 2010, i.e. +2.5% a year

21 M+
visitors in 2025, +16.7%

SAR 210 bn
of major projects recorded in the region, about 213 projects

Population: City Population, 2010 and 2022 censuses. Projects: Arab News, 1 July 2025.

Upcoming projects

Project	Content	Source
Rua Al Madinah (PIF)	1.5 M m² east of the Prophet's Mosque 🕌; more than 47,000 rooms by 2030; more than 95,000 m² of retail; Umrah pilgrim capacity raised to 30 M a year; the director acknowledges a lack of varied F&B in the central area	AGBI, AGBI
Madinah Gate	60,000 m² east of the mosque, near the Haramain high-speed rail station; tourism and leisure	Arab News
Haramain high-speed train	Links Medina to Mecca; 9.6 M passengers in 2025	Zawya
Medina Airport	9.4 M passengers in 2023; target of 17 to 18 M after the extension	AGBI, Scene Traveller
Hospitality	Crowne Plaza (383 rooms) and Four Seasons (246) announced; the hotel sector grew by 42% in 2024	Connecting Travel, Arab News
Regional investment	More than SAR 210 bn of projects, of which 188 private; 15 M m² of land allocated; more than	Arab News

Project	Content	Source
programme	119,000 jobs expected; transport and storage registrations +190% between 2019 and 2024	
Regional industry	493 factories, i.e. 4.5% of the Kingdom (Medina region, Yanbu included)	Invest Madinah

Potential. Umrah pilgrims often combine Mecca and Medina. The Kingdom received 18 M foreign pilgrims in 2025 and aims for 30 M in 2030, about 66% more. Medina is preparing for this increase with 47,000 additional rooms, an airport aiming at nearly double the passengers and a train linking it to Mecca. A quality bakery-café offer, scarce today, finds here a market growing faster than its population.

1.4 Tourist demand in Medina in figures

Medina receives more than 21 million visitors a year, and demand is growing faster than premium dining supply.

21 M+
visitors in 2025, +16.7%

SAR 52 bn
of tourist spending, +22%

76,000+
rooms in 610 licensed hotels

82%
hotel occupancy in Q1 2026, the highest in the Kingdom

Indicator	Value	Source
Visitors 2025	more than 21 M (+16.7%)	Connecting Travel
Tourist spending 2025	SAR 52 bn (+22%)	Zawya
Visitors Q1 / Q2 2025	6.45 M (of which 4.41 M foreign) / 3.77 M (of which 2.10 M foreign)	Saudi Gazette, Saudi Expatriates

Indicator	Value	Source
Foreign Umrah pilgrims 2025	18.03 M; target of 30 M in 2030	Zawya
Licensed hotels 2025	610 establishments (+35%), more than 76,000 rooms (+24%)	Zawya
Occupancy rate	75% in 2025 (highest in 3 years); 82% in Q1 2026	TradeArabia, Knight Frank
Rawdah capacity	more than 52,000 visitors a day	Muslim News

1.5 Seasonality

The first quarter (including Ramadan 2025) weighs about 1.7 times the second in visitors. Ramadan 2027 is expected from about 8 February to 9 March and Hajj 2027 around 14 to 19 May, with a pre-Hajj closure to Umrah in April-May (Fond Travels). Some Hajj pilgrims then pass through Medina. The model therefore applies a seasonal coefficient rather than a flat volume.

1.6 Benchmark: the bakery-café offer in Medina

No premium French bakery-café with centralised production has been identified in Medina. This absence remains to be confirmed on the ground. Online sources show a market dominated by specialty cafés, mass-market chains and pilgrim catering. Paul and Ladurée appear in Jeddah and Bateel in Riyadh, not in Medina according to the sources consulted.

Segment	Players identified	Observed positioning	To verify on site
Saudi specialty cafés	Namq (Sultana Gardens Mall, 24/7), 8Oz, Coffematics, Soul Specialty (King Fahd Park), ROW (near the Haram)	Coffee and desserts, ambience, local and young clientele	Cappuccino price, average ticket, share of in-house or bought-in bakery and pastry

Segment	Players identified	Observed positioning	To verify on site
Mass-market chains	Starbucks, Dunkin, Tim Hortons, Al Baik	Volume, prime locations, brand awareness	Locations around the Haram, queues at prayer times
Local bakeries and cafés	Lub Cafe and Bakery, Clue Bakery, Lider Cafe, Layali October, Tohfa	Oriental pastry and bread, affordable prices	Quality of bread, viennoiserie and pastry, all-butter croissants
Traditional bakery and Iftar	Subhan Bakery (new food street near Gate 340, Iftar suppliers)	Pilgrimage bread, volume	Capacity, licences, prices
French premium	Paul and Ladurée in Jeddah; no trace in Medina	European image, festive products	Possible corners in hotels or malls

Reading. The probable gap is in fresh artisan-level bakery and pastry (bread, viennoiserie, pastry), sold under a real brand, with controlled production. It is consistent with the remark by the Rua Al Madinah developer about the lack of varied F&B in the central area. Two local constraints: the clientele is mostly pilgrims, with peak hours tied to prayers, and products must be pork-free.

Limit. The benchmark rests on public guides and lists, with no prices collected. A field visit to 15 to 20 addresses is planned before any real estate commitment (chapter 7).

CHAPTER 2

Opportunities

Three opportunities overlap in Medina: the premium bakery-café in a shop, B2B (hotels, cafés, missions) and, at larger scale, a central kitchen serving the whole city market.

2.1 The premium bakery-café

The open niche is fresh artisan-level bakery and pastry (bread, viennoiserie, pastry), sold under a real brand, in a city where the offer consists of specialty cafés, mass-market chains and oriental bakeries (chapter 1.6). The clientele is a continuous flow of pilgrims and visitors, with peaks around prayers.

The volume needed is low relative to the flow. Medina receives about 57,500 visitors a day on average (21 M a year), not counting its 1.4 M inhabitants. A flagship at 600 tickets a day captures only 1.0% of them; the pessimistic case (360 tickets) captures 0.6%.

Format	Area	Tickets per day (central case)	Average ticket	Revenue at maturity
Flagship, near the Haram	150 m² + terrace	600	SAR 40	8.4 M
Neighbourhood shop (scenario 4, two units)	100 m²	450	SAR 40	6.3 M each

350 trading days. The flagship's 600 tickets correspond to 75% of the Riyadh flagship target (800 tickets), and the neighbourhood shop to 75% of the flagship, the ratio observed in Riyadh. Ticket of SAR 40 for lack of prices collected on site; the Riyadh flagship sells at SAR 46. Online sales (delivery) generally add 10 to 20% of revenue and are tested in chapter 4.

Pork-free products. Sales cover bakery (bread and all-butter viennoiserie), fresh pastry and specialty coffee, with production made at the central kitchen and finishing in the shop.

2.2 B2B opportunities

B2B is the least documented figure in the file, but the volume it requires is modest. No public volume exists for wholesale bakery and pastry in Medina: the orders of magnitude below are assumptions to be validated through letters of intent.

Segment	Why Medina	What the sources say	Type of contract
Hotels	More than 76,000 rooms, 610 establishments,	The pipeline adds thousands of rooms,	Breakfast, banquets, hotel

Segment	Why Medina	What the sources say	Type of contract
	occupancy of 75 to 82%	mostly upscale and mid-range	boutique; annual contract
Hajj and Umrah missions	Meals served in hotels of the central district	Indonesia: 23 kitchens in Medina, 27 meals per pilgrim over about 9 days (RRI). Pakistan: 7 caterers selected from 29 applicants (APP)	Seasonal tenders, high volumes, tight margins
Iftar at the Prophet's Mosque 🕌	Approved providers with a licensed establishment in Makkah or Medina	Applications open every Ramadan (Siasat)	A licensed production site in Medina is a prerequisite: an argument for the local central kitchen
Independent cafés and local chains	Several specialty cafés with no visible bakery and pastry lab	No public volume data	Daily delivery, subscription
Mass retail	LuLu is opening a hypermarket in Medina with fresh-food aisles (Arab News)	No purchase prices available	Listing, bread, viennoiserie and pastry, fresh or par-baked
Airport, station, Rua Al Madinah	9.4 M passengers heading to 17-18 M; 95,000 m² of retail to come	Operator timetable not confirmed	Concession or supply to operators

A modest B2B volume is enough. A central kitchen on its own (scenario 2) covers its costs from about SAR 2.8 M of B2B a year, i.e. SAR 232,000 a month: for example 20 hotels at SAR 5,000, 40 cafés at SAR 2,500 and SAR 32,000 of events, missions and Iftar spread over the year. To gauge the effort, the SAR 5.5 M of this scenario's central case represents about SAR 0.26 per occupied hotel room-night in Medina

(76,000 rooms, 75% occupancy). In scenarios 1 and 4 the central kitchen lives first from its own shops: B2B of SAR 3.0 M a year (SAR 250,000 a month) comes on top.

Timing constraint. Pilgrim contracts are seasonal (Ramadan, Hajj). A central kitchen in Medina must be able to switch to hotels and cafés for the rest of the year.

2.3 The large-scale central kitchen

A central kitchen of 600 m² fully equipped (scenario 4) is designed for a network: it supplies the flagship and two shops, i.e. three points of sale, with B2B on top. This sizing follows the costing of the Riyadh project (600 m² kitchen, three own points of sale, SAR 6.1 M of CAPEX at opening).

- **A network before B2B:** the central kitchen spreads its fixed costs over three points of sale. B2B of SAR 3.0 M a year (SAR 250,000 a month) is a complement, not a condition of profitability.
- **Capacity:** the planned rotary oven is enough, for viennoiserie, for about 12 shops of 300 pieces a day.
- **Range sold:** the central kitchen can supply bread, viennoiserie, pastry and coffee, as finished products, semi-finished products (doughs, frozen raw, par-baked) or bases (creams, batters, preparations). Selling semi-finished products and bases is an additional opportunity, not included in the scenario figures. The tool therefore leaves room for new shops or more B2B.
- **Licence:** Iftar providers and pilgrim kitchens require a licensed establishment in Medina. A local central kitchen is a prerequisite, not an asset.
- **Possible anchor contract:** pilgrim missions, Iftar at the Prophet's Mosque 🕋, mass retail (LuLu), operators of Rua Al Madinah and of the airport.
- **Phasing:** phase 1 of 600 m² equipped within a 900 m² lease, with 300 m² reserved for extension (works estimated at SAR 0.6 M).

CHAPTER 3

Real estate opportunities

The shop rent depends mostly on distance from the Haram. No reliable listing was found for the central zone: the model uses SAR 3,500/m² a year

and tests SAR 7,000/m² as a sensitivity. Fit-out and equipment costs come from supplier quotes and are grouped into blocks in chapter 4.

Item	Benchmark found	Model assumption
Shop, 2nd ring road (Khalidiyah)	35 m² at SAR 75,000/year, i.e. about SAR 2,140/m² (Aqar)	Flagship 150 m² at SAR 3,500/m²
Neighbourhood shops	120 m² (3 units) at SAR 100,000/year, i.e. about SAR 830/m² (Aqar); platform average SAR 2,500/m² (unverified)	Scenario 4 100 m² shop at SAR 3,000/m²
Commercial plot, Al Jassah	770 m² at SAR 100,000/year, i.e. about SAR 130/m² (Property Finder)	Not used
Medina industrial zone	Official rent of about SAR 4/m² a year for land (Invest Madinah); land for sale about SAR 1,080/m² (Wasalt)	Built central kitchen: SAR 250 to 600/m² a year depending on size, plus SAR 600/m² of service charges and maintenance

Operating assumptions

- **Sales:** average ticket of SAR 40, 350 trading days. Secondary shops reach 75% of the flagship, the ratio observed in Riyadh.
- **Shop:** food cost of 20% of revenue, operations 12% and marketing 4%, ratios from the Riyadh operation.
- **B2B :** food cost of 30% of revenue, other variable costs 8%.
- **Staff:** SAR 3,900 a month per shop employee, plus a manager at SAR 8,000; SAR 4,400 in the central kitchen. Staff housing and shuttle included, about SAR 11,000 per employee a year.
- **Ramp-up:** shops at 60%, 85%, then 100%; B2B at 35%, 75%, then 100%.
- **Rents:** flagship at SAR 3,500/m² a year (7,000 as a sensitivity); the final costing of the 150 m² flagship and its terrace will be established with the selected contractor, neighbourhood shop at 3,000, central kitchen SAR 250 to 600/m².

- **Launch requirement** = hard CAPEX (works, equipment, stainless furniture and small equipment, plus 5% contingency) + study and permit fees (7.4% of CAPEX) + deposits and rents during works + pre-opening salaries + 3 months of cash.
- **Online sales:** +10 to 20% of shop revenue, tested as a sensitivity at +15%. Platform commissions (about 18%) are passed through in delivery prices.
- EBITDA before tax, zakat and VAT.

CHAPTER 4

The four costed scenarios

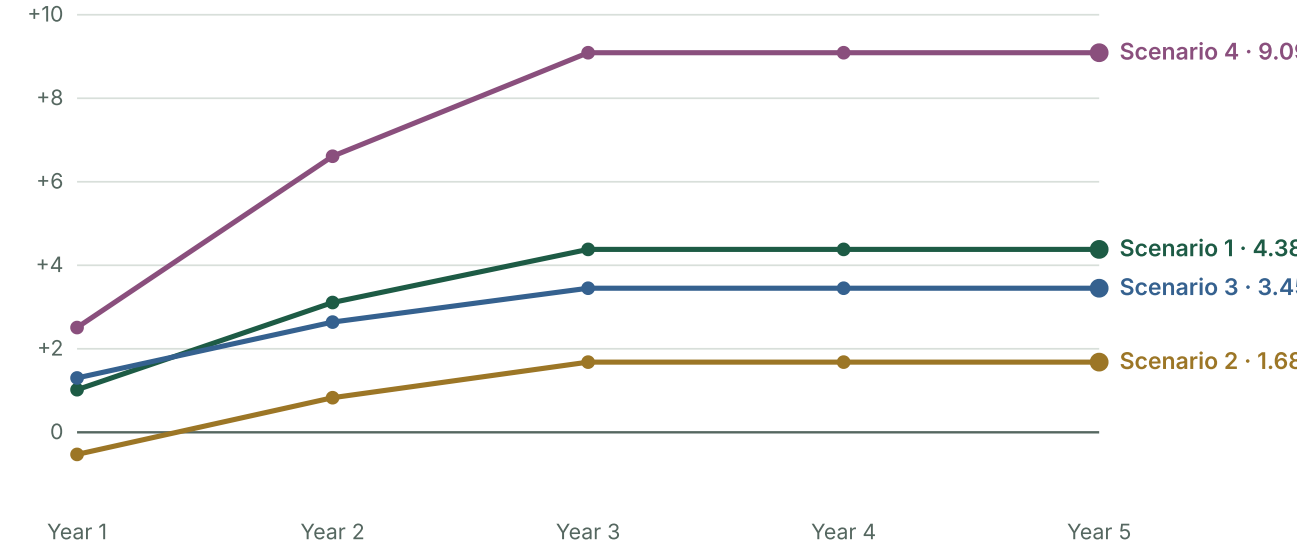
Four scenarios, from the lightest (the flagship alone, 2.4 M) to a network of three points of sale with a 600 m² central kitchen (9.5 M). Central case: 600 tickets a day at the flagship, i.e. 1.0% of the visitor flow and 75% of the Riyadh flagship target. Paybacks then range from 1.4 to 3.7 years, with 31 to 41% EBITDA margin. In the pessimistic case (360 tickets, B2B at 60%), they move to 3.2-5.1 years, and scenario 2 does not pay back.

Amounts in SAR, EBITDA before tax. Payback is measured on the full launch requirement, not on CAPEX alone, and over twelve years with year 5 results held constant.

	Scenario 1 Central kitchen 220 m² + flagship 150 m² + terrace	Scenario 2 Central kitchen 200 m² alone	Scenario 3 Flagship 150 m² + terrace alone	Scenario 4 Central kitchen 600 m² + 3 points of sale
Scope	Flagship and central kitchen, B2B of SAR 3.0 M a year	B2B central kitchen: hotels, cafés, missions (SAR 5.5 M a year)	Flagship with a small integrated production lab, no B2B	600 m² central kitchen, flagship and two 100 m² shops, B2B of SAR 3.0 M a year
Total launch requirement	**4.75 M**	**3.22 M**	**2.43 M**	**9.46 M**

	Scenario 1 Central kitchen 220 m² + flagship 150 m² + terrace	Scenario 2 Central kitchen 200 m² alone	Scenario 3 Flagship 150 m² + terrace alone	Scenario 4 Central kitchen 600 m² + 3 points of sale
Works and fit-out	999,220	556,200	403,000	2,544,380
Equipment	1,709,199	1,365,543	745,935	3,379,746
Stainless furniture and small equipment	310,371	294,153	83,960	141,960
Contingency (5%)	150,940	110,795	61,645	303,304
CAPEX at opening	**3,169,730**	**2,326,691**	**1,294,540**	**6,369,390**
Studies, rents and salaries before opening, starting cash	1,585,137	890,297	1,139,351	3,089,146
Annual revenue at maturity (central case)	11.4 M	5.5 M	8.4 M	24.0 M
EBITDA at maturity (year 3)	**4.4 M**	**1.7 M**	**3.5 M**	**9.1 M**
EBITDA margin	38.4%	30.6%	41.0%	37.9%
Net margin before tax (CAPEX depreciated over 7 years)	34.7%	24.9%	38.9%	34.3%
Return on investment, central case	**2.1 years**	**3.7 years**	**1.4 years**	**2.0 years**

	Scenario 1 Central kitchen 220 m² + flagship 150 m² + terrace	Scenario 2 Central kitchen 200 m² alone	Scenario 3 Flagship 150 m² + terrace alone	Scenario 4 Central kitchen 600 m² + 3 points of sale
Return on investment, pessimistic case	5.1 years	no payback	3.2 years	5.0 years



What each footfall level gives

The flagship volume is the decisive assumption, and it is not proven in Medina. The table shows the payback and margin for four levels, from 0.6% to 2.0% of the visitor flow.

Return on investment · EBITDA margin at maturity	Scenario 1	Scenario 2	Scenario 3	Scenario 4
Pessimistic: 360 tickets a day at the flagship, B2B at 60% 0.6% of visitor flow; 1.6% for	5.1 years · 21.8%	no payback · 9.7%	3.2 years · 25.7%	5.0 years · 20.6%

Return on investment · EBITDA margin at maturity	Scenario 1	Scenario 2	Scenario 3	Scenario 4
the scenario 4 network				
Central: 600 tickets a day 1.0% of visitor flow; 2.6% for the scenario 4 network	2.1 years · 38.4%	3.7 years · 30.6%	1.4 years · 41.0%	2.0 years · 37.9%
High: 860 tickets a day 1.5% of visitor flow; 3.7% for the scenario 4 network	1.5 years · 44.6%	unchanged (depends on B2B)	0.9 years · 48.0%	1.3 years · 45.1%
Very high: 1,150 tickets a day 2.0% of visitor flow; 5.0% for the scenario 4 network	1.1 years · 48.7%	unchanged (depends on B2B)	0.6 years · 52.0%	1.0 years · 49.5%
Central with 15% additional online sales	1.9 years · 41.0%	–	1.2 years · 44.0%	1.7 years · 40.9%
Central, flagship rent doubled (SAR 7,000/m², near the Haram)	2.3 years · 35.1%	–	1.7 years · 36.5%	2.1 years · 36.3%

Flagship capacity: 150 m² and a terrace

The flagship has 150 m² indoors and a terrace of 20 to 30 m² (15 to 20 seats). In the central case, 600 tickets a day represent about 3.4 tickets per m² per day over 175 m², against about 3.2 for the Riyadh flagship (800 tickets over 250 m²). This is in the same order of magnitude as Riyadh, with takeaway and

> delivery as a complement. The levels of 860 and 1,150 tickets (4.9 and 6.6 tickets per m²) exceed what a single point can serve: they read as the demand of a network of several points of sale, hence the interest of scenario 4.

Reading the scenarios

Scenario 1. The flagship carries the brand and the 220 m² central kitchen supplies it and opens B2B. It covers its costs from 111 tickets a day with the planned B2B (194 with B2B at 60%). It is the recommended scenario to start with.

Scenario 2. The lightest of the B2B projects, but with no consumer brand: everything rests on contracts. It covers its costs from about SAR 2.8 M of B2B a year, pays back in 3.7 years in the central case and does not pay back if B2B reaches only 60% of plan.

Scenario 3. The least committed (2.43 M) and the fastest payback (1.4 years), but a single point of sale, no licensed production and a SAR 0.31 M lab to fit inside the flagship (assumption to validate on plan). It covers its costs from 216 tickets a day.

Scenario 4. The largest EBITDA (9.1 M in year 3) for 9.5 M. The 600 m² kitchen serves three points of sale and leaves capacity for B2B. It requires 1,500 tickets a day in total, i.e. 2.6% of the visitor flow, and a network of three addresses to find.

CHAPTER 5

Risks

Sensitivities on volume, online sales and rent are in chapter 4. The main risks to monitor are the following.

- **Flagship volume.** The central case assumes 600 tickets a day over 150 m² and a terrace, i.e. 3.4 tickets per m², close to the density of the Riyadh flagship. The pessimistic case at 360 tickets remains profitable for scenarios 1, 3 and 4, but paybacks move to 3-5 years.
- **B2B concentration.** An anchor client of more than 20% of revenue puts the break-even on a single contract. Aim for several segments: hotels, cafés, missions.

- **Seasonality.** Ramadan and Hajj concentrate demand, with a pre-Hajj closure to Umrah. Plan cash for the quiet periods and a flexible production plan.
- **Location.** The flagship lives on access to the Haram and prayer times. The rent gap between the centre and the 2nd ring road is the main real estate unknown.
- **Licences.** Iftar providers and pilgrim kitchens require a licensed establishment in Medina (municipality, SFDA). Authorisation lead times for a fit-out are several weeks.
- **Labour.** Qualified bakers and pastry chefs are scarce in Medina.
- **Incoming competition.** The 47,000 rooms of Rua Al Madinah and their retail may attract established bakery brands.
- **Reference prices.** The quotes come from Riyadh. Site and labour costs in Medina may differ. Generator, outdoor condensers, blast-freezing tunnel and controlled proofing chamber remain "to be quoted" and are covered only by the 5% contingency.

Outside the model: zakat or tax, VAT, possible brand royalties, refrigerated vehicles (not costed: to buy or rent).

CHAPTER 6

Summary and recommendation

Medina justifies a premium bakery-café project. Demand is solid (more than 21 M visitors, 82% hotel occupancy in Q1 2026) and no artisan French competitor has been identified. In the central case, 600 tickets a day at the flagship, the four scenarios pay back in 1.4 to 3.7 years with 31 to 41% EBITDA margin. In the pessimistic case (360 tickets, B2B at 60%), payback is 3.2 to 5.1 years, except for scenario 2.

SCENARIO 1 RECOMMENDED

Central kitchen 220 m² + flagship 150 m² + terrace

4.8 M of launch requirement

CAPEX at opening **3.17 M**

SCENARIO 2

B2B central kitchen alone, 200 m²

3.2 M of launch requirement

CAPEX at opening **2.33 M**

EBITDA year 3	**4.4 M**
Payback central / pessimistic	**2.1 / 5.1 years**

EBITDA year 3	**1.7 M**
Payback central / pessimistic	**3.7 / none**

SCENARIO 3

Flagship 150 m² + terrace alone, compact lab

2.4 M of launch requirement

CAPEX at opening	**1.29 M**
EBITDA year 3	**3.5 M**
Payback central / pessimistic	**1.4 / 3.2 years**

SCENARIO 4

Central kitchen 600 m² + 3 points of sale

9.5 M of launch requirement

CAPEX at opening	**6.37 M**
EBITDA year 3	**9.1 M**
Payback central / pessimistic	**2.0 / 5.0 years**

Recommendation: start with scenario 1, aim for the scenario 4 network

For SAR 4.75 M of launch requirement (of which SAR 3.17 M of CAPEX), scenario 1 builds the brand on site with the flagship and opens B2B with a licensed 220 m² kitchen. EBITDA of SAR 4.4 M in year 3 in the central case, SAR 1.5 M in the pessimistic case. If the flagship confirms more than 600 tickets a day, scenario 4 (600 m² kitchen and three points of sale) becomes the next step: it requires a larger kitchen, hence the interest of a lease with an extension option.

Scenario 3 has the fastest payback and the smallest commitment, but no licensed production and no B2B. Scenario 2 is the slowest and depends entirely on contracts: it is justified only with letters of intent covering at least SAR 232,000 a month.

To do before committing: three B2B letters of intent, a field survey of 15 to 20 competitors with footfall counts, and two real lease offers (chapter 7). All scenario figures are working assumptions calibrated on the Riyadh operation, not quotes.

CHAPTER 7

Action plan before the decision

Five validations, in order of priority, before signing a lease.

1 **Three B2B letters of intent**
A hotel, a café, a missions operator. This is the data point that decides between scenarios 1, 2 and 4, and justifies adding a licensed central kitchen to the flagship.

2 **Field visit to 15 to 20 addresses**
Price of croissant, pain au chocolat, cappuccino; average ticket; footfall counts at prayer times; origin of the bread, viennoiserie and pastry.

3 **Two to three real real estate offers**
A 150 m² unit with terrace and a premises of 200 to 250 m² for production, with rent and charges.

4 **Re-quotation by suppliers**
The amounts come from supplier quotes, with a few lump-sum items. Have the works contractor re-quote the shop joinery and the specific central kitchen items, and obtain the missing quotes (generator, condensers, blast-freezing tunnel).

5 **Rua Al Madinah timetable**
Retail opening dates and leasing conditions.

CHAPTER 8

Sources

Figures collected by web research on 4 November 2026, from page extracts; not all pages themselves were opened in full. Auto-generated content sites that quoted occupancy rates without a clear origin were discarded.

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Population and cities. AGBI (2022 census), Saudipedia, City Population

Domestic tourism. Gulf News, Arab News (WTTC)

Medina projects. Arab News (regional programme), Arab News (Madinah Gate), Invest Madinah

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Medina cafés. ListMag, Tripadvisor

Hajj missions and Iftar. RRI, APP, Siasat

Rents and land. Aqar, Property Finder, Invest Madinah, Wasalt

Fit-out costs. Supplier quotes and prices for the project (works contractors and equipment suppliers), Riyadh project costing for operating ratios, Daranan, Compass Q4 2022 via Scribd

National market. IMARC, Ken Research

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CREATE
Concept, feasibility study, costing, opening plan: the investment decision taken on numbers.

OPTIMISE
Organisation, production, food costs and margins of an operating venue or central kitchen.

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